

Tianqi Lithium (9696 HK/002466 CH)

H/A: Downgrade to Hold: Rally without price recovery

- ◆ The recent share price rally is overdone, in our view, as we do not expect material lithium price recovery in the near term
- ◆ Expect some earnings improvement in 2H25 with slight lithium price recovery and stable mine and refinery production
- ◆ Downgrade H/A-shares to Hold from Buy as we believe the recent positive developments are priced in; revise TPs

Strong rally but positives priced in: The share price of Tianqi has risen 74% in the past three months (vs. HSCEI up 12%), driven by: 1) ongoing “anti-involution” campaign and supply disruptions in Yichun, Jiangxi province; 2) stronger ESS demand outlook, following NDRC’s higher national ESS capacity target (see [China Energy Storage: Pace picking up with new policies](#), 22 September 2025); 3) the US Department of Energy’s stake in a private lithium company, as the government seeks to support industries deemed strategic for national security. However, we believe these positive developments have already been priced in after the strong rally, because 1) the end-September Yichun production halt for existing mines now appears to be a non-event, with CATL’s mine likely to restart production soon; 2) ESS demand, while strong, is insufficient to offset structural oversupply. We do not expect a sharp recovery in lithium prices in the near term, and believe the market remains oversupplied from past capacity additions (see [Energy transition - Lithium: Supply glut persists](#), 22 September 2025); 3) US government involvement may support longer-term US lithium supply, which could add to global supply pressure.

We raise our PB multiple to 1.45x on both H/A-share given the positive developments supporting lithium prices, but lower earnings estimates for 2025e/2026e. We no longer apply an A-H premium, in line with other companies within our coverage. As a result, our H/A-share target prices are now HKD49.00/RMB45.00 (from HKD34.00/RMB46.00), implying c3%/5% downside and we downgrade both H and A-shares to Hold from Buy. Key upside risks include renewed supply disruption in Yichun and stronger-than-expected demand growth from EV and ESS, while key downside risks include China-Australia trade tensions impacting spodumene imports.

Licensing issues in Yichun looks more like a procedural hiccup: CATL’s renewal of mining permits failed in July but its reserve reports have now been approved by authorities, paving the way for mining activities restart. For other mines in Yichun, given the submission of reserve reports (at 0.2% Li₂O grade without mine type reclassification), shutdowns appear unlikely now. Lithium inventory is falling as downstream customers restock, but lithium chemical prices are unlikely to rise materially in the near term, in our view.

Earnings outlook in 2H25: Overall, 2H25 earnings should rebound from a weak 1H25, driven by lithium price stabilisation, operating leverage from new/refining capacities, and stronger equity contributions. However, we believe these factors are already priced in after the strong share price rally.

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Equities Metals & Mining

China



H: DOWNGRADE TO HOLD

TARGET PRICE (HKD)

49.00

PREVIOUS TARGET (HKD)

34.00

SHARE PRICE (HKD)

50.75

(as of 02 Oct 2025)

UPSIDE/DOWNSIDE

-3.4%



A: DOWNGRADE TO HOLD

TARGET PRICE (CNY)

45.00

PREVIOUS TARGET (CNY)

46.00

SHARE PRICE (CNY)

47.57

(as of 01 Oct 2025)

UPSIDE/DOWNSIDE

-5.4%

MARKET DATA

BBG / RIC	9696 HK / 9696.HK
Market cap (HKDm / USDm)	85,142 / 10,940
Free float (H / A)	64% / 65%
3m ADTV (USDm) (H / A)	38 / 378

FINANCIALS AND RATIOS (CNY)

Year to	12/2024a	12/2025e	12/2026e	12/2027e
HSBC EPS	-5.32	0.50	1.06	1.54
HSBC EPS (prev)	-3.20	0.70	1.59	na
Change (%)	-66.2	-28.4	-33.5	na
Consensus EPS	-3.57	0.64	1.46	2.60

Source: LSEG IBES, HSBC estimates

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Issuer of report: The Hongkong and Shanghai Banking Corporation Limited

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Financials & valuation

Financial statements

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Profit & loss summary (CNYm)				
Revenue	13,030	11,781	13,418	16,719
EBITDA	6,371	5,858	6,502	9,001
Depreciation & amortisation	-1,132	-1,153	-1,195	-1,236
Operating profit/EBIT	5,239	4,705	5,307	7,765
Net interest	-601	-788	-788	-788
PBT	420	4,992	5,831	8,602
HSBC PBT	420	4,992	5,831	8,602
Taxation	-1,300	-1,498	-1,749	-2,580
Net profit	-8,727	822	1,736	2,517
HSBC net profit	-8,727	822	1,736	2,517
Cash flow summary (CNYm)				
Cash flow from operations	5,554	5,831	5,545	7,027
Capex	-4,524	-2,000	-2,000	-2,000
Cash flow from investment	-6,242	-452	-642	29
Dividends	-2,215	0	0	0
Change in net debt	7,097	-4,557	-4,043	-6,165
FCF equity	1,030	3,831	3,545	5,027
Balance sheet summary (CNYm)				
Intangible fixed assets	531	531	531	531
Tangible fixed assets	23,061	23,908	24,713	25,477
Current assets	11,987	15,955	20,801	28,179
Cash & others	5,747	10,304	14,347	20,511
Total assets	69,557	74,406	80,127	88,373
Operating liabilities	3,599	3,407	3,688	3,884
Gross debt	13,757	13,757	13,757	13,757
Net debt	8,010	3,454	-590	-6,754
Shareholders' funds	42,771	46,266	50,347	56,368
Invested capital	26,232	26,684	28,009	29,791

Ratio, growth and per share analysis

Year to	12/2024a	12/2025e	12/2026e	12/2027e
Y-o-y % change				
Revenue	-67.8	-9.6	13.9	24.6
EBITDA	-81.5	-8.0	11.0	38.4
Operating profit	-84.4	-10.2	12.8	46.3
PBT	-98.8	1088.8	16.8	47.5
HSBC EPS	-219.9		111.4	44.9
Ratios (%)				
Revenue/IC (x)	0.5	0.4	0.5	0.6
ROIC	-43.2	12.4	13.6	18.8
ROE	-18.2	1.8	3.6	4.7
ROA	-3.0	5.6	6.0	7.8
EBITDA margin	48.9	49.7	48.5	53.8
Operating profit margin	40.2	39.9	39.6	46.4
EBITDA/net interest (x)	10.6	7.4	8.2	11.4
Net debt/equity	16.0	6.3	-1.0	-9.8
Net debt/EBITDA (x)	1.3	0.6	-0.1	-0.8
CF from operations/net debt	69.3	168.8		
Per share data (CNY)				
EPS reported (diluted)	-5.32	0.50	1.06	1.54
HSBC EPS (diluted)	-5.32	0.50	1.06	1.54
DPS	0.00	0.00	0.00	0.00
Book value	26.09	28.22	30.71	34.38

Valuation data: 9696 HK

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	4.3	4.4	3.5	2.5
EV/EBITDA	8.8	8.8	7.3	4.6
EV/IC	2.1	1.9	1.7	1.4
PE*	nm	92.6	43.8	30.2
PB	1.8	1.6	1.5	1.4
FCF yield (%)	1.3	4.9	4.6	6.5
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

Valuation data: 002466 CH

Year to	12/2024a	12/2025e	12/2026e	12/2027e
EV/sales	4.3	4.4	3.5	2.5
EV/EBITDA	8.8	8.8	7.3	4.6
EV/IC	2.1	1.9	1.7	1.4
PE*	nm	94.9	44.9	31.0
PB	1.8	1.7	1.5	1.4
FCF yield (%)	1.3	4.9	4.6	6.5
Dividend yield (%)	0.0	0.0	0.0	0.0

* Based on HSBC EPS (diluted)

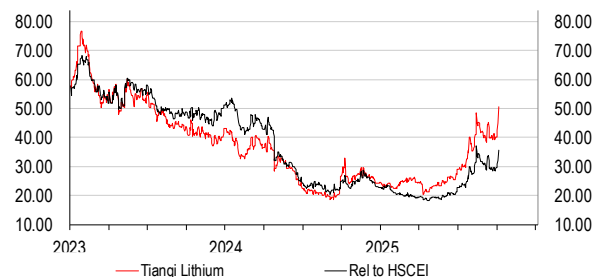
ESG metrics

Environmental Indicators	12/2023a	Governance Indicators	12/2024a
GHG emission intensity*	47.6	No. of board members	8
Energy intensity*	148.6	Average board tenure (years)	7.6
CO ₂ reduction policy	Yes	Female board members (%)	50
Social Indicators		Board members independence (%)	50
Employee costs as % of revenues	2.6		
Employee turnover (%)	N/A		
Diversity policy	Yes		

Source: Company data, HSBC

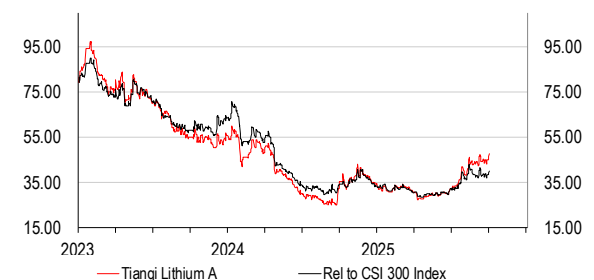
* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Price relative: 9696 HK



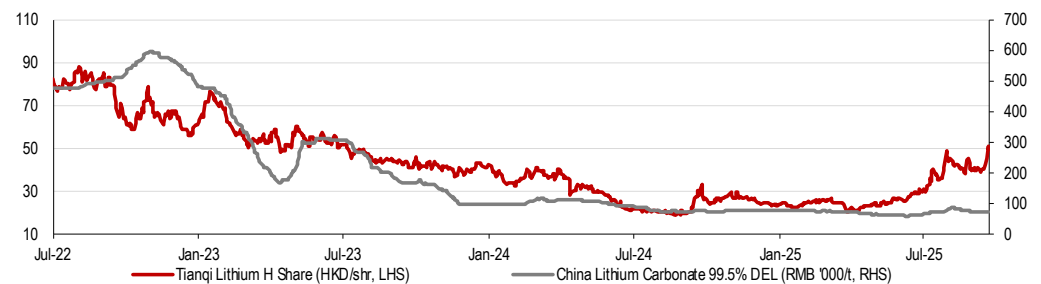
Source: HSBC

Price relative: 002466 CH



Source: HSBC

Note: Priced at close of 02 Oct 2025

Exhibit 1: Tianqi-H share price vs. lithium price


1H25 results review

1H25 results underscored sharp earnings pressure from lithium price declines, partly mitigated by favourable FX movement and lower costs. Tianqi Lithium reported 1H25 revenue of RMB4.82bn (down 25% y-o-y) and earnings of RMB87m (vs loss of RMB5.2bn in 1H24), in-line with profit alert. Gross margin stood at c40% (down 12ppt y-o-y). 2Q25 performance: Revenue was RMB2.3bn (down 41% y-o-y, down 13% q-o-q) and net profit swung to a loss of RMB20m (vs. loss of RMB1.3bn in 2Q24 and profit of RMB104m in 1Q25). GPM fell to 34.0% (down 20ppt y-o-y, down 10ppt q-o-q), reflecting weaker lithium chemical and spodumene prices (both down 14% q-o-q). Despite lower prices, profit erosion was partly offset by the FX gains of RMB487m from a stronger AUD. Cash flow: Operating cash inflow was RMB1.82bn (down 19% y-o-y), while capex was RMB2.25bn (down 11% y-o-y). Inventory increased to RMB2.6bn (up 11% YTD).

Operations and capacity update

Lithium chemicals: Segment revenue reached RMB2.4bn (down 36% y-o-y) in 1H25 with margin compressed to 25% (down 17ppt y-o-y). The Kwinana refinery posted EBITDA loss of AUD48m (cRMB220m) but utilisation has exceeded 50%, pointing to narrowing losses as output ramps. Tianqi also terminated investment and construction of the 24kt/y Train II Battery-grade Lithium Hydroxide Monohydrate Project in January 2025 due to low economic viability.

Resource base:

- ◆ Greenbushes mine: 1H25 concentrate production of 681kt (up 9% y-o-y) with 2025 production guidance unchanged at 1.62Mt. CGP3 expansion (520kt/y) is scheduled to complete by December 2025, lifting total capacity to 2.14Mt/y.
- ◆ Refining: Existing lithium chemical capacity of 91.6kt/y; the Jiangsu Zhangjiagang 30kt LiOH project was completed in July 2025 and entered trial run. A 1kt/y lithium metal project in Chongqing is under construction. Once onstream, its total global lithium chemical capacity will reach 122.6kt/y.
- ◆ Equity investments: SQM delivered stable contribution in 1H25, with Tianqi recording RMB205m investment income. SQM's 2025 international sales guidance has been lifted to 20kt LCE (up 10% y-o-y in Chile), implying stronger 2H25 earnings contribution.

Outlook for 2H25

Lithium carbonate prices have rebounded since July to around RMB75,000/t, supported by domestic supply disruptions (Tibet salt lake, Yichun lepidolite) and resilient EV and storage demand. For Tianqi: earnings trajectory should improve meaningfully in 2H25 as prices stabilise above the cost curve. Volume guidance remains c100kt lithium chemicals for 2025 (flat y-o-y), with focus on profitability rather than output growth. Margin recovery is likely, aided by narrowing Kwinana losses, contribution from new capacity in Zhangjiagang, and steady cash inflow from Greenbushes. Investment income from SQM should increase as sales volumes rise in 2H. Overall, 2H25 earnings are set to rebound from a weak 1H25, driven by lithium price recovery, operating leverage from new/refining capacities, and stronger equity contributions.

Tianqi – H/A (9696 HK/002466 CH) – downgrade to Hold from Buy

Key earning estimate changes

After incorporating 1H25 reported earnings, latest lithium price forecast, demand outlook, and capacity expansion progress, we lower our earnings estimates by 28% for 2025 and 34% for 2026, and introduce our earnings estimate for 2027.

Exhibit 1: Tianqi Lithium – changes to our estimates and comparison with consensus

RMBbn	New Estimates			Old Estimates			Difference			Consensus Forecasts			Difference		
	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e	2025e	2026e	2027e
Sales	11,781	13,418	16,719	12,941	17,066	NA	-9%	-21%	NA	11,485	15,349	18,331	3%	-13%	-9%
Gross profit	5,386	6,082	8,731	5,867	9,328	NA	-8%	-35%	NA	5,272	8,595	11,375	2%	-29%	-23%
GM (%)	45.7%	45.3%	52.2%	45.3%	54.7%	NA	0.4ppt	-9.3ppt	NA	45.9%	56.0%	62.1%	-0.2ppt	-10.7ppt	-9.8ppt
Operating income	4,705	5,307	7,765	5,229	8,487	NA	-10%	-37%	NA	4,284	6,711	9,425	10%	-21%	-18%
Profit before tax	4,992	5,831	8,602	6,727	10,217	NA	-26%	-43%	NA	4,693	8,218	11,407	6%	-29%	-25%
Net income	822	1,736	2,517	1,148	2,612	NA	-28%	-34%	NA	907	2,010	3,371	-9%	-14%	-25%
EPS (RMB)	0.50	1.06	1.54	0.70	1.59	NA	-28%	-34%	NA	0.51	1.24	2.07	-1%	-14%	-26%

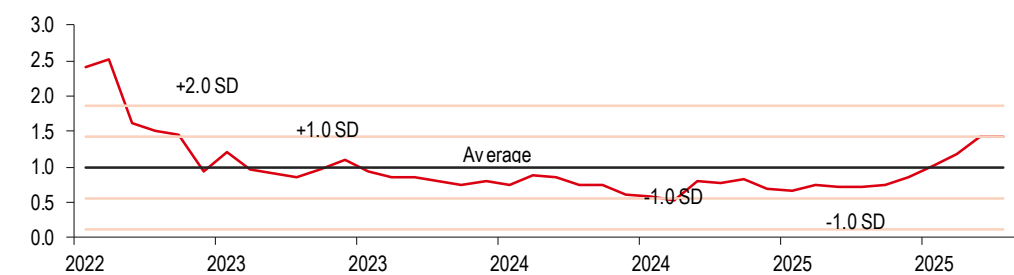
Source: Bloomberg consensus, HSBC estimates

Valuation and risks

We downgrade Tianqi-H/A from Buy to Hold as we believe both H and A-shares are now fairly valued. We raise our target price for the Tianqi H shares to HKD49.00 (from HKD34.00). Our target PB of 1.45x (previously 0.8x for the H-share) is 1 SD above the stock's historical average since its listing in 2022 (previously 0.75 SD below) and in line with what we use to value Ganfeng-H (1772 HK, HKD47.08, Buy). Our higher PB multiples reflect recent positive developments supporting the lithium price. We no longer apply an A-H premium, which is in line with how we value other companies within our coverage, resulting in the same PB multiple of 1.45x for both A/H-shares. We apply the multiple to our 2026e BVPS of RMB30.71 (previously RMB40.22) to derive our H-share target price, using our FX team's end-2025e RMB-HKD rate of 1.10 (previously 1.05). Our resulting new H-share target price of HKD49 (from HKD34) implies c3% downside from the current share price and we downgrade our rating to Hold, from Buy.

Our target price for the Tianqi A-shares falls to RMB45.00 (from RMB46.00). Our revised target price is derived by applying a new target forward PB of 1.45x (previously 1.15x PB) to our 2026e BVPS of RMB30.70 (previously RMB40.22). Our target PB of 1.45x is the same as what we use to value Tianqi-H. Our new A-share TP implies 5.4% downside and while we downgrade our rating to Hold (from Buy), we see recent developments as supportive for lithium prices.

Exhibit 2: Tianqi-H: Forward PB multiple



Source: HSBC, Bloomberg

Key upside risks: 1) New supply disruption in Yichun, Jiangxi province; 2) lithium price upside risk amid new development of the “anti-involution” campaign; 3) stronger-than-expected demand growth from EV and ESS; 4) positive news of US Department of Energy taking stakes in lithium projects.

Key downside risks: 1) Trade tensions between China and Australia could impact self-produced spodumene imports; 2) delays in lithium compound capacity expansion; 3) lower-than-expected demand growth from EV and ESS; and 4) potential impairment loss from investment on SQM.

Disclosure appendix

Analyst Certification

The following analyst(s), economist(s), or strategist(s) who is(are) primarily responsible for this report, including any analyst(s) whose name(s) appear(s) as author of an individual section or sections of the report and any analyst(s) named as the covering analyst(s) of a subsidiary company in a sum-of-the-parts valuation certifies(y) that the opinion(s) on the subject security(ies) or issuer(s), any views or forecasts expressed in the section(s) of which such individual(s) is(are) named as author(s), and any other views or forecasts expressed herein, including any views expressed on the back page of the research report, accurately reflect their personal view(s) and that no part of their compensation was, is or will be directly or indirectly related to the specific recommendation(s) or views contained in this research report: Howard Lau, CFA and Chris Chan

Important disclosures

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From 23rd March 2015 HSBC has assigned ratings on the following basis:

The target price is based on the analyst's assessment of the stock's actual current value, although we expect it to take six to 12 months for the market price to reflect this. When the target price is more than 20% above the current share price, the stock will be classified as a Buy; when it is between 5% and 20% above the current share price, the stock may be classified as a Buy or a Hold; when it is between 5% below and 5% above the current share price, the stock will be classified as a Hold; when it is between 5% and 20% below the current share price, the stock may be classified as a Hold or a Reduce; and when it is more than 20% below the current share price, the stock will be classified as a Reduce.

Our ratings are re-calibrated against these bands at the time of any 'material change' (initiation or resumption of coverage, change in target price or estimates).

Upside/Downside is the percentage difference between the target price and the share price.

Prior to this date, HSBC's rating structure was applied on the following basis:

For each stock we set a required rate of return calculated from the cost of equity for that stock's domestic or, as appropriate, regional market established by our strategy team. The target price for a stock represented the value the analyst expected the stock to reach over our performance horizon. The performance horizon was 12 months. For a stock to be classified as Overweight, the potential return, which equals the percentage difference between the current share price and the target price, including the forecast dividend yield when indicated, had to exceed the required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). For a stock to be classified as Underweight, the stock was expected to underperform its required return by at least 5 percentage points over the succeeding 12 months (or 10 percentage points for a stock classified as Volatile*). Stocks between these bands were classified as Neutral.

*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

Rating distribution for long-term investment opportunities

As of 30 June 2025, the distribution of all independent ratings published by HSBC is as follows:

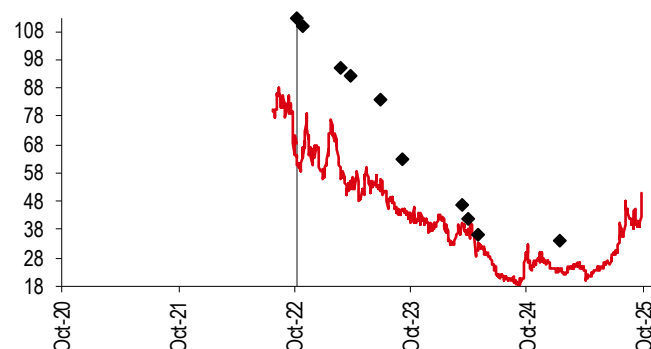
Buy	56%	(13% of these provided with Investment Banking Services in the past 12 months)
Hold	38%	(11% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(7% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see "Stock ratings and basis for financial analysis" above.

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Share price and rating changes for long-term investment opportunities

Tianqi Lithium (9696.HK) share price performance HKD Vs HSBC rating history



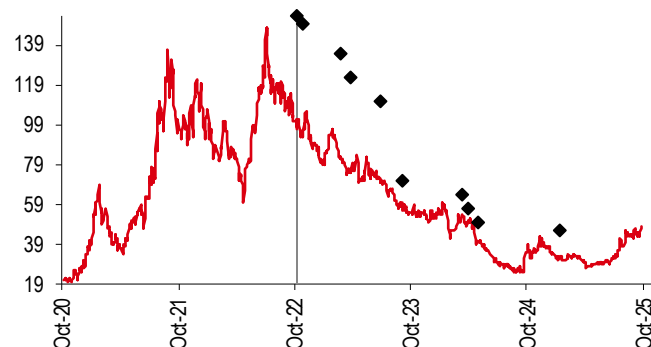
Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau, CFA
Target price	Value	Date	Analyst
Price 1	113.00	09 Oct 2022	Howard Lau, CFA
Price 2	110.00	31 Oct 2022	Howard Lau, CFA
Price 3	95.00	27 Feb 2023	Howard Lau, CFA
Price 4	92.00	31 Mar 2023	Howard Lau, CFA
Price 5	84.00	28 Jun 2023	Howard Lau, CFA
Price 6	63.00	05 Sep 2023	Howard Lau, CFA
Price 7	47.00	13 Mar 2024	Howard Lau, CFA
Price 8	42.00	03 Apr 2024	Howard Lau, CFA
Price 9	36.00	30 Apr 2024	Howard Lau, CFA
Price 10	34.00	17 Jan 2025	Howard Lau, CFA

Source: HSBC

Tianqi Lithium A (002466.SZ) share price performance CNY Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
N/A	Buy	09 Oct 2022	Howard Lau, CFA
Target price	Value	Date	Analyst
Price 1	154.00	09 Oct 2022	Howard Lau, CFA
Price 2	150.00	31 Oct 2022	Howard Lau, CFA
Price 3	135.00	27 Feb 2023	Howard Lau, CFA
Price 4	123.00	31 Mar 2023	Howard Lau, CFA
Price 5	111.00	28 Jun 2023	Howard Lau, CFA
Price 6	71.00	05 Sep 2023	Howard Lau, CFA
Price 7	64.00	13 Mar 2024	Howard Lau, CFA
Price 8	57.00	03 Apr 2024	Howard Lau, CFA
Price 9	50.00	30 Apr 2024	Howard Lau, CFA
Price 10	46.00	17 Jan 2025	Howard Lau, CFA

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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HSBC & Analyst disclosures
Disclosure checklist

Company	Ticker	Recent price	Price date	Disclosure
TIANQI LITHIUM	9696.HK	50.75	02 Oct 2025	4, 7
TIANQI LITHIUM A	002466.SZ	47.57	02 Oct 2025	4, 7

Source: HSBC

- 1 HSBC has managed or co-managed a public offering of securities for this company within the past 12 months.
- 2 HSBC expects to receive or intends to seek compensation for investment banking services from this company in the next 3 months.
- 3 At the time of publication of this report, HSBC Securities (USA) Inc. is a Market Maker in securities issued by this company.
- 4 As of 31 August 2025, HSBC beneficially owned 1% or more of a class of common equity securities of this company.
- 5 This company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of investment banking services.
- 6 As of 31 August 2025, this company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-investment banking securities-related services.
- 7 As of 31 August 2025, this company was a client of HSBC or had during the preceding 12 month period been a client of and/or paid compensation to HSBC in respect of non-securities services.
- 8 A covering analyst/s has received compensation from this company in the past 12 months.
- 9 A covering analyst/s or a member of his/her household has a financial interest in the securities of this company, as detailed below.
- 10 A covering analyst/s or a member of his/her household is an officer, director or supervisory board member of this company, as detailed below.
- 11 At the time of publication of this report, HSBC is a non-US Market Maker in securities issued by this company and/or in securities in respect of this company.
- 12 As of 26 September 2025, HSBC beneficially held a net long position of more than 0.5% of this company's total issued share capital, calculated according to the SSR methodology.
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